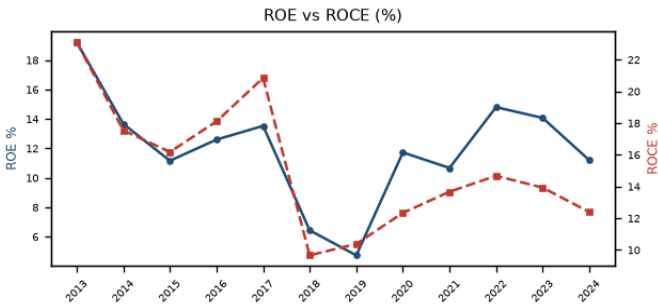
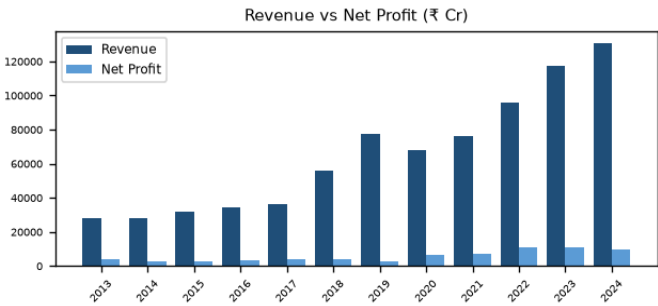


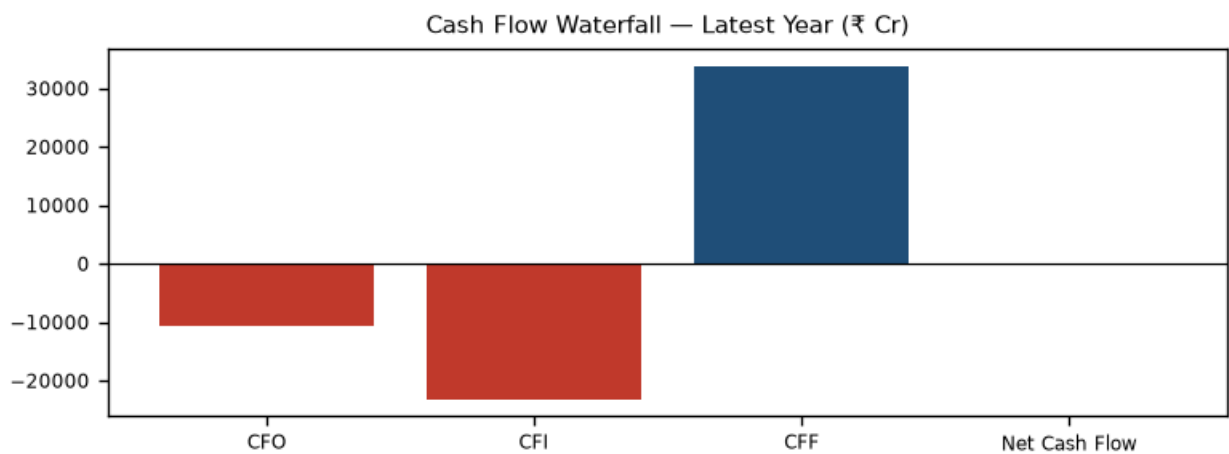
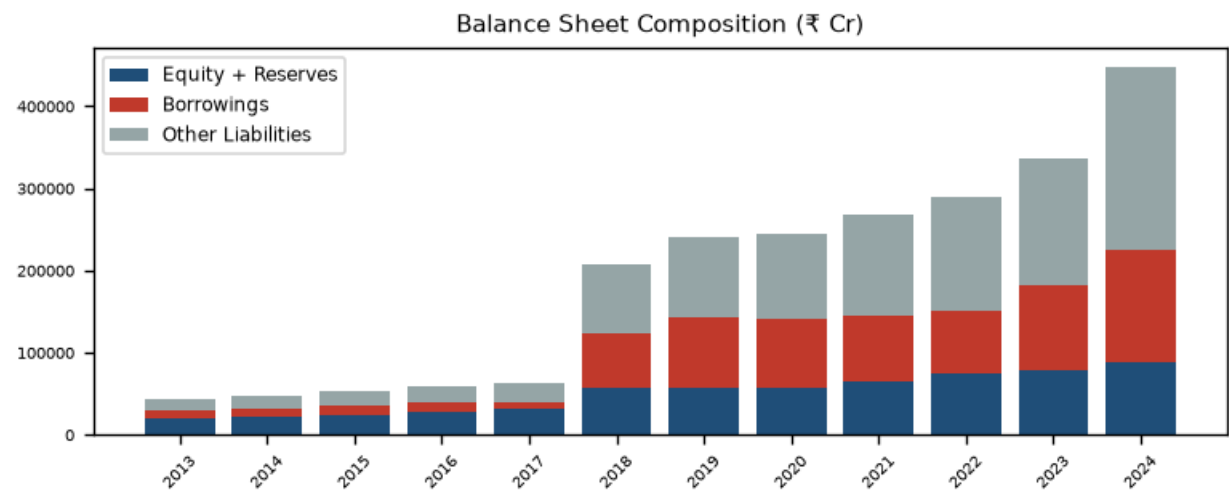
Grasim Industries Ltd (GRASIM)

Industrials — Diversified Industrials

ROE	ROCE	Net Profit Margin
11.2%	12.4%	7.6%
D/E	Revenue CAGR (5yr)	FCF (latest, Cr)
1.5x	11.2%	-33833



Grasim Industries Ltd (GRASIM) — Balance Sheet & Cash Flow



Capital Allocation Pattern: Growth Funded by Debt

Pros

- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (65% confidence)
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (66% confidence)
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (78% confidence)

Cons

- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (70% confidence)
- ✗ Earnings per share declining for 3 consecutive years reflects deteriorating profitability (75% confidence)